CFA Level I Mock Exam 7.2 - Questions

Choose one answer for each question.

Question 1

When a company has significant intangibles, asset-based valuation is most likely:

A. used to determine the value of off the books assets.

B. less preferred than forward-looking cash flow valuation.

C. appropriate to calculate a maximum value for the company.

Question 2

The lead underwriter in an IPO most likely:

A. acts as the book builder for the offering.

B. is not responsible for making a market in the securities.

C. is prohibited from providing an opinion about the issue to their clients.

Question 3

The value of a European put option is directly related to the:

A. risk-free interest rate.

B. value of the underlying.

C. volatility of the underlying.

Question 4

If it is difficult to find a buyer or a seller for an asset, the asset most likely trades on:

A. brokered markets.

B. order-driven markets.

C. quote-driven markets.

Question 5

Which of the following is most likely a consequence of the overconfidence bias? An investor who:

A. overestimates downside risks

B. underestimates expected returns

C. holds a poorly diversified portfolio

Question 6

Forward contracts are different from futures contracts because forwards are:

A. standardized.

B. marked to market.

C. traded over-the-counter.

Question 7

The market model is most likely used to predict:

A. market returns in a future period.

B. economic growth in a future period.

C. company-specific returns in a future period.

Question 8

Which of the following ESG investment approaches best describes positive screening?

A. Systematic consideration of material ESG factors in asset allocation

B. Inclusion of sectors or companies in the portfolio based on specific ESG criteria

C. Investments made with the intention to generate positive, measurable social and environmental impact

Question 9

Which of the following is most likely undertaken during the risk budgeting process?

A. Assessing risk appetite

B. Setting a limit for value at risk (VaR)

C. Establishing a reserve to cover potential future losses

Question 10

An 8-year, 3.5% annual coupon bond is priced at 92.1492, with a yield to maturity of 4.7% and a Macaulay duration of 7.0705. If rates decrease by 75 bps, the percentage price change of the bond is closest to:

A. –5.30%.

B. 5.07%.

C. 5.30%.

Question 11

An analyst gathers the following information about a company (in $ thousands):

	Year 1	Year 2
Operating income	255	234
Depreciation and amortization	432	677
Interest expense	170	156

Based on the interest coverage ratio using EBITDA, the company's creditworthiness has:

A. deteriorated.

B. remained unchanged.

C. improved.

Question 12

A correlation matrix of the returns for securities A, B, and C is reported below: Security A B C A 1 — — B 0.5 1 — C 0 -0.5 1 Assuming that the expected return and the standard deviation of each security are the same, a portfolio consisting of an equal allocation of which two securities will be most effective for portfolio diversification?

A. Securities A and B

B. Securities A and C

C. Securities B and C

Question 13

An analyst gathers the following information about a putable bond currently trading at par: Price per 100 of Par Value Change in Benchmark Yield 102.25 –25 bps 100.00 Unchanged 99.25 +25 bps The effective duration of this bond is:

A. 1.5.

B. 4.5.

C. 6.0.

Question 14

A private equity firm sells a portfolio company to a buyer that is active in the same industry as the portfolio company. This transaction is best described as a(n):

A. trade sale.

B. secondary sale.

C. initial public offering.

Question 15

Key rate duration:

A. requires the shape of the benchmark yield curve to stay constant.

B. measures a bond's sensitivity to a change in the benchmark yield at a specific maturity.

C. indicates the same interest rate sensitivity as effective duration for non- parallel shifts in the yield curve.

Question 16

Which of the following natural resources has formed part of large institutional portfolios for decades?

A. Farmland only

B. Timberland only

C. Both farmland and timberland

Question 17

According to put-call parity, a long position in an underlying is equivalent to a long risk-free bond combined with a:

A. long call and a long put with the same strike.

B. long call and a short put with the same strike.

C. short call and a long put with the same strike.

Question 18

An investor values a company based on the dividend discount model. All else being equal, the estimated intrinsic value of the stock for a one-year holding period is most likely:

A. lower than the estimated intrinsic value of the stock for a five-year holding period.

B. equal to the estimated intrinsic value of the stock for a five-year holding period.

C. higher than the estimated intrinsic value of the stock for a five-year holding period.

Question 19

Private real estate investors expect to generate the highest returns from:

A. core strategies.

B. value-add strategies.

C. opportunistic strategies.

Question 20

An investor purchased a 5-year bond at issuance for 98 per 100 of par value and held the bond for two years. Coupon payments were reinvested at the original yield to maturity. If the realized horizon yield is equal to the original yield to maturity, the investor most likely sold the bond at a price:

A. below par.

B. equal to par.

C. above par.

Question 21

For portfolios composed of the risk-free asset and a risky asset, the expected return as a function of standard deviation of returns is graphically represented by the:

A. security market line.

B. capital allocation line.

C. Markowitz efficient frontier.

Question 22

An investor gathers the following information about a company:

Most recent year's dividend per share	$1.47
Next year's estimate of earnings per share	$4.00
Estimate of long-run return on equity (ROE)	15%
Estimate of long-run dividend payout ratio	40%
Investors' required rate of return	12%

The company's justified forward P/E is closest to:

A. 10.0.

B. 13.3.

C. 20.0.

Question 23

Which of the following categories of private debt most likely has the highest level of risk for an investor?

A. Mezzanine debt

B. Senior direct debt

C. Infrastructure debt

Question 24

A 5% decline in the value of a security held on margin reduces an investor's equity value by 20%. After the price decline, the leverage ratio of the position is:

A. 4.00.

B. 4.75.

C. 5.00.

Question 25

A closed-end fund is trading at a premium to its NAV. This scenario most likely reflects:

A. concerns about the quality of management.

B. excess demand for redemption of the shares.

C. a belief that the portfolio securities are undervalued.

Question 26

Which of the following US sovereign securities is a pure discount bond?

A. Treasury bill

B. Treasury note

C. Treasury bond

Question 27

An analyst gathers the following information about a company:

Earnings retention rate	55%
ROE	20%

If the required rate of return is 15%, the justified forward P/E of the company is closest to:

A. 7.5.

B. 11.3.

C. 13.8.

Question 28

The pass-through rate of a mortgage-pass through security is:

A. lower than the mortgage rate on the underlying pool.

B. equal to the mortgage rate on the underlying pool.

C. greater than the mortgage rate on the underlying pool.

Question 29

Consider a call option trading for $2.00 with an exercise price of $38.00. If the price of the underlying at expiration is $42.00, the payoff for the call option seller is:

A. –$4.00.

B. –$2.00.

C. $4.00.

Question 30

A credit issuer rating assigned by a rating agency is based on:

A. the notching adjustment of a specific bond of the issuer.

B. the ranking of a specific bond in the issuer's capital structure.

C. the issuer's ability and willingness to service its senior unsecured debt.

Question 31

The price sensitivity of a bond to a change in the benchmark yield curve is the:

A. effective duration.

B. modified duration.

C. Macaulay duration.

Question 32

A transaction setup to absorb the variable cash flow of a floating-rate asset can be described as a:

A. fair value hedge.

B. cash flow hedge.

C. net investment hedge.

Question 33

Measuring the duration of a bond portfolio as a weighted average of the individual bond durations:

A. is difficult to use as a measure of interest rate risk.

B. assumes the yield curve shifts in a parallel manner.

C. assumes the yield curve shifts in a non-parallel manner.

Question 34

An analyst gathers the following information (in $ millions) about a private equity fund:

	Investment A	Investment B	Total
Initial cost	100	150	250
Profit/loss	–50	30	–20

The manager's incentive fee is 20% of the profits. If no clawback provision applies, the total incentive fee (in $ millions) under an American-style waterfall is:

A. –4.

B. 0.

C. 6.

Question 35

Selected information about shares of two companies is provided in the following table: Stock Standard Deviation Correlation of Returns* Portfolio Weights Cable Incorporated 30% 0.65 68% GPT Company 20% 0.65 32% * Correlation of returns between Cable Incorporated and GPT Company. The standard deviation of returns of the portfolio formed with these two stocks is closest to:

A. 25.04%.

B. 26.80%.

C. 32.85%.

Question 36

Market prices are most likely accepted as accurately reflecting intrinsic values in:

A. an inefficient market only.

B. a highly efficient market only.

C. both an inefficient market and a highly efficient market.

Question 37

Sponsored depository receipts are most likely subject to:

A. less reporting requirements than unsponsored ones.

B. the same level of reporting requirements as unsponsored ones.

C. greater reporting requirements than unsponsored ones.

Question 38

All else being equal, which of the following conditions most likely results in wider credit spreads?

A. A credit cycle peak

B. A strengthening economy

C. A period of heavy new issue supply

Question 39

Which of the following is most likely an application of the CAPM?

A. Estimating expected returns over multiple periods

B. Assessing return performance against a benchmark

C. Estimating expected returns using multiple investment factors

Question 40

Which of the following statements about market efficiency is most accurate? In a:

A. weak-form efficient market, technical analysis generates abnormal returns over the long run.

B. semi-strong-form efficient market, active portfolio managers outperform the market on a consistent basis.

C. strong-form efficient market, insiders would not be able to earn abnormal returns from trading on private information.

Question 41

If the 1-year spot rate is 3% and the 2-year spot rate is 4.5%, the 1y1y implied forward rate is closest to:

A. 1.46%.

B. 3.75%.

C. 6.02%.

Question 42

Exercise of a European put option is most likely justified if:

A. the option is out of the money.

B. the exercise value is negative.

C. the exercise price exceeds the value of the underlying.

Question 43

If a stock purchased with 60% margin declines 25%, the investor's return on equity is closest to:

A. –85%.

B. –63%.

C. –42%.

Question 44

Do management fees get paid to the manager of a hedge fund regardless of the fund's performance?

A. Yes

B. No, only when the fund's gross return is positive

C. No, only when the fund's net asset value exceeds the previous high-water mark

Question 45

Which of the following equations best describes put–call parity for European options? T

A. p = c − S + X/(1 + r) 0 0 0

B. c = p − S − X/(1 + r) 0 0 0

C. S = c − p − X/(1 + r) 0 0 0

Question 46

In the binomial option pricing model, the price of a call option will increase when:

A. the risk-free rate increases.

B. the volatility of the underlying increases.

C. the probability of an upward movement in the underlying increases.

Question 47

Issuers' disclosures about operating costs are most likely:

A. less detailed than their revenue disclosures.

B. just as detailed as their revenue disclosures.

C. more detailed than their revenue disclosures.

Question 48

The industry growth style of the crude oil sector is best characterized as:

A. cyclical mature.

B. defensive growth.

C. defensive mature.

Question 49

In which section of an IPS is the rebalancing policy most likely found?

A. Appendices

B. Investment Guidelines

C. Evaluation and Review

Question 50

For a given currency and tenor, a bond's yield spread over the standard swap rate is best described as the:

A. I-spread.

B. G-spread.

C. Z-spread.

Question 51

The minimum rate of return required by investors to purchase an equity security is most likely approximated by the company's:

A. cost of equity.

B. return on equity.

C. weighted average cost of capital.

Question 52

When defining an asset class for the purpose of asset allocation, an investor should ensure that assets in the class are relatively:

A. homogeneous and have low paired correlations with other asset classes.

B. homogeneous and have high paired correlations with other asset classes.

C. heterogeneous and have low paired correlations with other asset classes.

Question 53

For an option-free, fixed-rate bond the coupon reinvestment risk most likely dominates market price risk when the investment horizon is:

A. less than the Macaulay duration of the bond.

B. equal to the Macaulay duration of the bond.

C. greater than the Macaulay duration of the bond.

Question 54

An investor owns a stock trading at $22 per share and would like to place an order to sell the position should the stock ever trade at or below $20 per share. The order most likely is:

A. limit 20 sell.

B. stop 20, market sell.

C. stop 20, limit 20 sell.

Question 55

Which of the following most likely has the greatest impact on portfolio performance?

A. The weighting of asset classes

B. The selection of securities within sectors

C. The trading of securities within asset classes

Question 56

All else being equal, the effect of a cash dividend on shareholders' wealth is most likely equivalent to the effect of a:

A. stock split on shareholders' wealth.

B. stock dividend on shareholders' wealth.

C. stock repurchase on shareholders' wealth.

Question 57

Which of the following statements regarding a commodity index is most accurate?

A. Commodity indexes commonly use an equal-weighting method.

B. Commodity indexes in the same markets will share similar risk and return profiles.

C. Commodity index returns differ from the changes in the prices of their underlying commodities.

Question 58

An analyst gathers the following information about a portfolio and the market:

	Return	Standard Deviation of Returns
Portfolio	11%	18%
Market	10%	20%

2 If the risk-free rate is 4%, the portfolio's M alpha is closest to:

A. 0.3%.

B. 0.8%.

C. 1.8%.

Question 59

When developing an IPS, an investor's desire to earn an inflation-adjusted annual rate of return of at least 2% is best classified as a(n):

A. relative risk objective.

B. relative return objective.

C. absolute return objective.

Question 60

If a forward contract requires no cash outlay at initiation, it is most likely true that at initiation:

A. value exceeds price.

B. price exceeds value.

C. price is equal to value.

Question 61

An analyst gathers the following information about a company's common stock and the market: Dividend per share (D) $3.00 0 Dividend payout ratio 25%

Equity beta	1.6
Expected risk-free rate of return	3.5%
Expected market rate of return	9.0%

Equity beta	1.6
ROE	7.0%

Using the Gordon growth model, the stock's intrinsic value is closest to:

A. $24.96.

B. $42.55.

C. $44.79.

Question 62

In general, which of the following institutions most likely has a high need for liquidity and a short investment time horizon?

A. Banks

B. Endowments

C. Defined-benefit pension plans

Question 63

The money duration of a bond is best defined as:

A. the bond's Macaulay duration times the bond's full price.

B. the estimated change in the bond's full price in currency units for a given change in the annual yield to maturity.

C. one half of the difference in the bond's full prices given a 1 basis point decrease and 1 basis point increase in yield-to-maturity.

Question 64

A special class of digital assets that peg their value to other financial assets through tokenization are called:

A. meme coins.

B. security tokens.

C. asset-backed tokens.

Question 65

If the expected return on the market portfolio is 6% and the risk-free rate is 2%, the expected return of a security with a beta of 1.25 is closest to:

A. 5.00%.

B. 7.00%.

C. 9.50%.

Question 66

Compared to alternative investments, traditional investments are most likely characterized by:

A. greater use of leverage.

B. a more complex fee structure.

C. higher levels of transparency.

Question 67

A 91-day US Treasury bill with a face value of $1,000,000 has a price of $985,000. Assuming a 360-day year, the discount rate is closest to:

A. 3.8%.

B. 5.9%.

C. 6.0%.

Question 68

Forward rate agreements can be used by firms to:

A. lock in a fixed borrowing or lending rate at a future date.

B. pay the return on an equity index and receive a fixed rate.

C. hedge against exchange rate fluctuations in foreign-currency investments.

Question 69

Buying the stock of a company being acquired while going short the stock of the acquiring company best describes a(n):

A. activist strategy.

B. merger arbitrage strategy.

C. distressed/restructuring strategy.

Question 70

Accrued interest:

A. depends on a bond's yield-to-maturity.

B. is equal to a bond's full price minus its flat price.

C. is typically included in the price quoted by bond dealers.

Question 71

An investor sells a put option expiring in six months for $55.75. The put option has an exercise price of $190.50. Determine the profit for the investor if the price of the underlying at expiration is $195.00.

A. $0.00

B. $55.75

C. $60.25

Question 72

An analyst gathers the following information about an equal-weighted index with three securities: Shares Beginning-of-Period End-of-Period Security Outstanding Price Price (Millions) 1 15 $5 $6 2 20 $2 $2 3 25 $3 $4 The price return of the index is closest to:

A. 17.8%.

B. 20.0%.

C. 21.1%.

Question 73

Which of the following statements about open-end mutual funds and ETFs is most accurate?

A. Investors can buy both open-end mutual funds and ETFs from other investors

B. Open-end mutual funds can be priced intraday, while ETFs are priced once a day

C. ETFs can be settled at a price different from the NAV, while open-end mutual funds are settled at the NAV

Question 74

Which of the following contracts is an example of a contingent claim? A(n):

A. currency option

B. interest rate swap

C. commodity forward

Question 75

The Markowitz efficient frontier is best described as the part of the minimum-variance frontier of risky assets that plots:

A. to the right of the risk-free asset.

B. above the global minimum-variance portfolio.

C. above and to the right of the optimal risky portfolio.

Question 76

Which of the following is most likely an example of a Eurobond?

A. A Japanese borrower issuing US dollar–denominated bonds in the US market.

B. A Canadian borrower issuing British pound–denominated bonds in the UK market.

C. An Australian borrower issuing Canadian dollar–denominated bonds in the UK market.

Question 77

Which of the following is the best example of an embedded option granted to bondholders?

A. A prepayment option

B. A put if the issuer’s rating changes

C. An increasing sinking fund provision

Question 78

In derivatives pricing:

A. investors are assumed to be risk averse.

B. a portfolio consisting of the underlying and the derivative must earn the risk- free rate.

C. expected payoffs of the derivative are discounted at the risk-free rate plus a risk premium.

Question 79

A value-weighted equity index is most likely biased by a stock that:

A. has a high price.

B. splits frequently.

C. has a large market capitalization.

Question 80

Which of the following risk metrics reflects the risk of changes in an option's delta?

A. Rho

B. Vega

C. Gamma

Question 81

Before performance fees can be charged on newly generated profits when a hedge fund experience losses, the value of the hedge fund must exceed the:

A. hurdle rate.

B. carried interest.

C. high-water mark.

Question 82

An analyst gathers the following information about a hedge fund's first year of operations:

Beginning-of-year assets under management	$100,000,000
Management fee based on end-of-year assets under management	2%
Incentive fee, calculated net of the management fee	20%
Annual gross return	15%
Soft hurdle rate	5%

The total fees (in $ millions) earned by the hedge fund in Year 1 are:

A. 3.84.

B. 4.30.

C. 4.84.

Question 83

The price of an option-free bond increases by 5% when the yield to maturity decreases by 200 basis points. If the price of this bond decreases by 5%, the yield to maturity most likely increases by:

A. less than 200 basis points.

B. 200 basis points.

C. more than 200 basis points.

Question 84

A company increased the dividend paid on its common stock by 3% per year over the past three years. If this growth rate is expected to continue indefinitely, the most appropriate model to estimate the intrinsic value of the stock is the:

A. Gordon growth model.

B. two-stage dividend discount model.

C. three-stage dividend discount model.

Question 85

Credit card receivable asset-backed securities (ABS) are most likely to:

A. be secured by non-amortizing loans.

B. have principal repayments reinvested indefinitely.

C. expose investors to contraction risk during a lockout period.

Question 86

Which of the following alternative investment categories most likely provides exposure to capital-intensive, long-lived assets that provide essential public services?

A. Infrastructure

B. Venture capital

C. Commercial real estate

Question 87

In contrast to investors in otherwise-similar mortgage-backed securities, investors in covered bonds most likely:

A. face higher credit risks.

B. are exposed to prepayment risks.

C. have recourse against the issuing financial institution.

Question 88

A behavioral bias in which an investor assesses probabilities of outcomes depending on how similar they are to the current state is called:

A. conservatism.

B. narrow framing.

C. representativeness.

Question 89

When valuing underlying hedge fund positions, the most conservative approach most likely uses:

A. the most recent market prices.

B. the average of the bid and ask prices.

C. bid prices for longs and ask prices for shorts.

Question 90

An investor makes the following statements: • Statement 1: “Swaps are contingent claims.” • Statement 2: “Swaps are characterized by a series of cash flows.” Which of the statements is correct?

A. Statement 1 only

B. Statement 2 only

C. Both Statement 1 and Statement 2